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Mega file of MCQs

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting

Solved by AMBER SHAHEEN

Question No: 1 (Marks: 1) - Please choose one

_____ Shares for which amount is paid by public are called _____ shares.

▶**Paid up**

▶Authorized

▶Bonus share

▶All are correct options

Question No: 2 (Marks: 1) - Please choose one



The area of accounting concerned with reporting financial information to the interested parties is called:

▶Cost Accounting

▶Financial Accounting

▶Management Accounting

▶Tax Accounting

Question No: 3 (Marks: 1) - Please choose one

An organization operating with the objective of making profit from the sale of goods or services is called:

▶Transaction

▶Business

▶Society

▶Trust

Question No: 4 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?

(1) Date of transaction

(2) Narration of transaction

(3) Cheque number

▶(1) & (2) only

▶(2) & (3) only

▶(1) & (3) only



▶(1), (2) & (3)

Question No: 5 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

▶Trading account

▶Profit & Loss account

▶Receipts & Payments account

▶Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

▶Selling Expenses

▶General Expenses

▶Financial Expenses

▶All of the given options

Question No: 7 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:



▶Raw material

▶Work in process

▶Finished goods

▶Merchandise inventory

Question No: 8 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

▶Opening raw material inventory + Purchases – Ending raw material inventory

▶Opening raw material inventory - Purchases + Ending raw material inventory

▶Ending raw material inventory + Opening raw material inventory - Purchases

▶Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 9 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000

Useful life = 5 years

Residual value = Rs.25, 000

The depreciation of machine per year using straight line method is?

▶Rs. 160,000

▶Rs. 96,000

▶Rs. 75,000

▶Rs. 57,600



Question No: 10 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

▶To calculate true profit

▶To show the asset on market value

▶To reduce tax Burdon

▶To provide funds for replacement

Question No: 11 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

▶Rs.260

▶Rs.232

▶Rs.284

▶Rs.268

Question No: 12 (Marks: 1) - Please choose one



Accounting is the language of:

▶Business

▶School

▶Proprietor

▶Management

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

▶Rs. 1, 02,885 other assets

▶Rs. 1, 02,885 other liabilities

▶Rs. 99,885 current liabilities

▶Rs. 99,385 other assets

Question No: 14 (Marks: 1) - Please choose one



A Bank Reconciliation Statement is prepared to:

▶**Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for**

▶Correct errors in the Cash Book or errors in the Bank Statement

▶Amend the balance of the Bank Statement of the firm

▶Amend the balance in the Cash Book of the firm

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

▶Rs. 400

▶Rs. 800

▶Rs. 2,000

▶Rs. 2,400

Question No: 16 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are



doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

▶Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

▶Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

▶Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)

▶Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 17 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

▶Subsidiary Ledgers

▶Creditors Control Accounts

▶Debtors Control Accounts

▶All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

▶Cash sale

▶Credit sales

▶Credit purchase

▶Cash purchases



Question No: 19 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

▶Cash purchases

▶Cash sales

▶Credit sales

▶Credit purchase

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

▶It tells about customer attitude of payments

▶It can be checked against the control account to pick up recording errors

▶It tells about the complete history of transactions of business client

▶All of the given options

Question No: 21 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

▶A’s account (Dr.) and B’s account (Cr.)

▶B’s account (Dr.) and A’s account (Cr.)

▶Sales account (Dr.) and B’s account (cr.)

▶B’s account (Dr.) and Sales account (Cr.)



Question No: 22 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

▶Bank charges

▶An error on the Bank Statement

▶An uncredited deposit

▶An unpresented cheque

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

▶Rs. 3,600

▶Rs. 4,000

▶Rs. 1,600

▶Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

▶Sell goods and services to customers

▶Purchase goods and services

▶Receive cash from customers

▶Pay cash to suppliers



Question No: 25 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

▶It is necessary to prepare for showing true picture of balance sheet

▶It is a reduction from assets

▶It is prepared for specific purposes

▶All of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

▶Fixed assets

▶Current liabilities

▶Profit sharing ratio

▶Long term assets

Question No: 27 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

▶Trading account only

▶Balance sheet only

▶Owner's equity only

▶Both Trading account and Balance sheet



Question No: 28 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

▶None of the given options

▶General reserve

▶Accumulated profit and loss (credit balance)

▶Revaluation reserves

Question No: 29 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

▶Sale of fixed asset

▶Issue of debentures

▶Cash from business operation

▶Purchase of fixed asset

Question No: 30 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

▶Sole-Proprietorship

▶Partnership

▶Trust

▶Public Limited Company



Question No: 31 (Marks: 1) - Please choose one

Particulars	
Nominal value of each share	Rs.10
No of shares issued	10,000 shares
Net profit	Rs. 20,000
Divined paid	10%
What is the EPS	**?**

▶Rs. 1.00

▶Rs. 2.00

▶Rs. 3.00

▶Rs. 4.00

Question No: 32 (Marks: 1) - Please choose one

When income exceeds expenses in a specific time period is known as:

▶Savings

▶Net profit

▶Gross profit

▶Operating profit

Question No: 33 (Marks: 1) - Please choose one



Which of the following transaction have **NO** affect on stockholders' equity?

▶Purchase of building on credit

▶Dividends to stockholders

▶Net loss

▶Investment in cash by stockholders

Question No: 34 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

▶Residual value

▶Market value

▶Fair value

▶Written down value (WDV)

Question No: 35 (Marks: 1) - Please choose one

Firms charge depreciation each year:

▶To ensure that there is enough money in the firm to replace the asset

▶To spread the cost of the asset over its working life

▶To reduce the profit and thus reduce the dividends they can pay to share holders

▶Because the law states they must be reduced



Question No: 36 (Marks: 1) - Please choose one

Which of the following is(are) **CORRECT** for Doubtful Debt?

▶It is shown in balance sheet

▶It is a definite loss to the business

▶No provision is necessary for it

▶All of the given option

Question No: 37 (Marks: 1) - Please choose one

Which of the following is not a cause of difference in balances as per pass book and cash book?

▶Error in cash book

▶Error in pass book

▶Direct deposit

▶Un credited cheques

Question No: 38 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

▶Discount received

▶Goods returned

▶Purchase of goods on credit

▶Payment of goods



Question No: 39 (Marks: 1) - Please choose one

A bad debt affects the Balance Sheet because it is a (an):

▶Liability

▶Asset

▶Expense

▶Income

Question No: 40 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

▶Rs. 150,000

▶Rs. 100,000

▶Rs. 220,000

▶Rs. 280,000

Question No: 41 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

▶Net realizable value is understated

▶Expenses are understated

▶Revenues are understated

▶Receivables are understated



Question No: 42 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

▶Title of financial statement

▶Name of the person who prepares financial statement

▶Period for which financial statement is prepared

▶Name of business entity

Question No: 43 (Marks: 1) - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

▶A debit to the Cash Received account of Rs. 3,500

▶A credit to the Accounts Receivable account of Rs.2,100

▶A debit to the Cash account of Rs.1,400

▶A debit to the Accounts Receivables account of Rs.1,400

Question No: 44 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. B?

▶Rs.1,320

▶Rs.2,640

▶Rs.3,960

▶Rs.6,600



Question No: 45 (Marks: 1) - Please choose one

_____ The amount of prepaid insurance that expired in the current accounting period should be reported as _____.

▶Prepaid insurance

▶Insurance expense

▶Insurance payable

▶Insurance paid

Question No: 46 (Marks: 1) - Please choose one

_____ Unexpired costs are reported as:

▶Revenues

▶Expenses

▶Assets

▶Income

Question No: 47 (Marks: 1) - Please choose one

_____ Insurance premiums paid in advance but not yet expired are reported in which of the following account?

▶Insurance payable

▶Prepaid insurance

▶Advance payment account

▶Insurance expense

Question No: 48 (Marks: 1) - Please choose one



Profits earned by partnerships compensate the owners for which of the following?

▶Personal services rendered to the business

▶Capital invested in the business

▶Assuming the risks of ownership

▶All of the given options

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

▶Reserves

▶Debentures

▶Share premium

▶Term finance certificate

Question No: 50 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

▶Par value

▶Face value

▶Nominal value

▶All of the given options

Question No: 51 (Marks: 1) - Please choose one

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:



▶Provision for doubtful debts

▶Gain or loss on currency exchange rate

▶Depreciation charged on fixed asset

▶Amount received for disposal of a fixed asset

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

▶Sales of machinery

▶Capital invested by the owners

▶Purchase of building for the business use

▶Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

▶Statement of retained earnings

▶Statement of financial position

▶Statement of cash flows

▶Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

What is the reason that some short term creditors prefer quick ratio over current ratio as a measure of short-term liquidity?

▶Short operating cycle of the company

▶Long operating cycle of the company



▶**Liquidity is not affected by operating cycle**

▶It is the creditor's choice

Final term Paper

MGT101 financial accounting

Solved by AMBER SHAHEEN

Question No: 1 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

▶Sole-Proprietorship

▶Partnership

▶Trust

▶**Public Limited Company**

Question No: 2 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

▶A cash flow statement

▶The bank statement for the business

▶**A balance sheet**

▶A statement of retained earnings

Question No: 3 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:



▶Accounts Receivable

▶Cash

▶Note Payable

▶Owner's Equity

Question No: 4 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

▶A's account (Dr.) and B's account (Cr.)

▶B's account (Dr.) and A's account (Cr.)

▶Sales account (Dr.) and B's account (cr.)

▶B's account (Dr.) and Sales account (Cr.)

Question No: 5 (Marks: 1) - Please choose one

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

▶Bade debts (Dr) and Debtors Control A/c (Cr)

▶Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)

▶Provision for doubtful debts (Dr) and Debtors A/c (Cr)

▶Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 6 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.



Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

▶Rs. 5 500 (Dr)

▶Rs. 5 500 (Cr)

▶Rs. 4 500 (Dr)

▶Rs. 4 500 (Cr)

Question No: 7 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

▶Rs.25, 000

▶Rs. 75,000

▶Rs. 15,000

▶Rs. 1, 00,000

Question No: 8 (Marks: 1) - Please choose one



Which of the following shows summary of a company's financial position at a specific date?

▶Profit & Loss Account

▶Cash Flow Statement

▶Balance Sheet

▶Income & Expenditure Account

Question No: 9 (Marks: 1) - Please choose one

Debenture is also named as:

▶Share

▶Bond

▶Equity

▶Reserve

Question No: 10 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

▶Decrease assets and liabilities.

▶Increase assets and stockholders' equity.

▶Decrease assets and stockholders' equity.

▶Increase liabilities and decrease stockholders' equity.

Question No: 11 (Marks: 1) - Please choose one



The net income calculated in the income statement for the accounting period is reported on:

▶Bank Statement

▶Statement of retained earnings

▶Statement of cash flows

▶None of the given options

Question No:12 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

▶Memorandum of Association

▶Articles of Association

▶Prospectus

▶Annual Report

Question No: 13 (Marks: 1) - Please choose one

Authorized share capital is also known as:

▶Registered capital

▶Issued capital

▶Paid up capital

▶Called up capital

Question No: 14 (Marks: 1) - Please choose one



Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT financial-statement classification?

▶Row A

▶Row B

▶Row C

▶Row D

Question No: 15 (Marks: 1) - Please choose one

Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

▶Increase of gross profit

▶Decrease of gross profit

▶Remains constant and no effect on net profit

▶There is no relation between goods purchased and gross profit

Question No: 16 (Marks: 1) - Please choose one



Which of the following entry will be recorded when the Bad Debts are recovered?

▶Cash account (Dr.) & Bad Debts recovered account (Cr.)

▶Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

▶Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

▶Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 17 (Marks: 1) - Please choose one

Which of the following would be deducted from Sundry Debtors in Balance Sheet?

▶Bad debts (Trial balance item)

▶Old provision for doubtful debts

▶New provision for doubtful debts

▶Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 18 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

▶Share premium account

▶Share holder account

▶Share capital account

▶Right share

Question No: 19 (Marks: 1) - Please choose one



The maximum amount with which the company is registered is called:

▶**Authorized Share Capital**

▶Issued Share Capital

▶Paid up capital

▶Called up capital

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	**?**

▶**Rs. 2,225**

▶Rs. 2,525

▶Rs. 1,925

▶Rs. 3,025

Question No: 21 (Marks: 1) - Please choose one



Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

▶Rs. 460

▶Rs. 2,400

▶Rs. 1,540

▶Rs. 3,940

Question No: 22 (Marks: 1) - Please choose one

Depreciable value of an asset is equal to:

▶Cost + scrap value

▶Cost + market price

▶Cost – scrap value

▶None of the given options

Question No: 23 (Marks: 1) - Please choose one



Which of the following asset is **NOT** depreciated?

▶Factory Buildings

▶Office Equipment

▶Plant & Machinery

▶Land

Question No: 24 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

▶These are the running expenses of the business

▶They improve the financial position of the business

▶They reduce the profit of the concern

▶They do not appear in the balance sheet

Question No: 25 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

▶Liquid assets

▶Current assets

▶Fixed assets

▶Capital assets

Question No: 26 (Marks: 1) - Please choose one



The Joint Stock Company is formed under the Companies Ordinance:

▶**1984**

▶I884

▶1948

▶1965

Question No: 27 (Marks: 1) - Please choose one

Which one of the following statement is **CORRECT** about Long term liabilities?

▶These are due within one year

▶**These are consist of all debts, payable after 12 months**

▶In working capital, these are deducted from current assets

▶All of the given options

Question No: 28 (Marks: 1) - Please choose one

Which of the following can offer its share to general public at large?

▶A private limited company

▶**A listed company**

▶A partnership firm

▶A trust

Question No: 29 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?



▶Rs. 6,000

▶Rs. 8,000

▶Rs. 4,500

▶Rs. 10,500

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **CORRECT**?

▶A cash inflow means increase total cash only

▶A cash inflow means increase in cash equivalent only

▶A cash inflow means increase in cash and decrease in cash equivalent

▶A cash inflow means increase in both cash and cash equivalent

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting

Solved by AMBER SHAHEEN

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

▶Paid up

▶Authorized

▶Bonus shares

▶All are correct options



Question No: 2 (Marks: 1) - Please choose one

Which of the following account/s will be affected under the rule of accrual accounting, when furniture is purchased on cash?

▶Only Cash Account

▶Only Furniture Account

▶Cash & Furniture Account

▶Only Purchases Account

Question No: 3 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

▶Pass Book

▶Cash Book

▶Purchase Book

▶Sales Book

Question No: 4 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

▶Profit & Loss Account



▶Cash Flow Statement

▶Balance Sheet

▶Income & Expenditure Account

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of intangible assets?

▶Franchise rights

▶Goodwill

▶Patents

▶Land

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

▶Furniture account

▶Cash account

▶Business account

▶Bank account

Question No: 7 (Marks: 1) - Please choose one

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15,000 respectively, calculate the current liabilities.



▶Rs. 5,000

▶Rs. 10,000

▶Rs. 15,000

▶Rs. 20,000

Question No: 8 (Marks: 1) - Please choose one

Cost of Goods Sold = ?

▶Beginning inventory + Purchases – Work in Process

▶Beginning inventory + Purchases - Sales

▶Beginning inventory + Purchases - Ending inventory

▶Ending inventory + Purchases - Beginning Inventory

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

▶Prime cost

▶Conversion cost

▶Sunk cost

▶Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:



▶Total factory cost + Opening work in process + Ending work in process

▶Total factory cost + Opening work in process – Ending work in process

▶Total factory cost - Opening work in process + Ending work in process

▶Ending work in process +Total factory cost – Opening work in process

Question No: 11 (Marks: 1) - Please choose one

Fixed assets are also called:

▶Depreciable assets

▶Current assets

▶Liquid assets

▶Floating assets

Question No: 12 (Marks: 1) - Please choose one

Consider the following

ventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000



Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

▶Rs.7, 500

▶Rs.7, 978

▶Rs.8, 000

▶Rs.8, 400

Question No: 13 (Marks: 1) - Please choose one

_____ Increase in an asset is recorded on the:

▶Left or credit side of the account

▶Right or debit side of the account

▶Left or debit side of the account

▶Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one

_____ The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

▶Appreciation

▶Depreciation

▶Fluctuation



▶None of the given options

Question No: 15 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

▶Rs. 49,000

▶Rs. 55,000

▶Rs. 50,000

▶Rs. 2, 50,000

Question No: 16 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	8,20,000



Owner's equity	3,80,000
Liabilities	?

▶Rs. 1, 98,000

▶Rs. 49,000

▶Rs. 55,000

▶Rs. 4, 40,000

Question No: 17 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

▶Cash at bank

▶Bank overdraft

▶Overpayment to creditors

▶Cash in hand

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:



▶A foreign currency account

▶A current account

▶A saving account

▶All of the given options

Question No: 19 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

▶Rs. 400

▶Rs. 800

▶Rs. 2,000

▶Rs. 2,400

Question No: 20 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?



▶Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

▶Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

▶Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)

▶Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 21 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

▶Credit sale only

▶Cash sale only

▶Credit purchase only

▶Both Credit sales and Credit purchase

Question No: 22 (Marks: 1) - Please choose one

Control account tells about:

▶Details of loyal clients

▶Customer attitude of payments

▶Complete history of transactions of business clients

▶Picture collectively instead of individually

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to “Mr.P” mistakenly entered in sales book?



▶P's account

▶Purchases return account

▶Sales account

▶Purchases returns account and sales account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

▶A's account only

▶Sales account only

▶Purchase returns account and sales account

▶Purchases account only

Question No: 25 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

▶Only Cash Account

▶Only P's account

▶Only Q's account

▶Both of Mr. P's & Mr.Q's Account

Question No: 26 (Marks: 1) - Please choose one



Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

▶Bank Account (Dr.) and Debtor's Account (Cr.)

▶Debtor's Account (Dr.) and Bank Account (Cr.)

▶Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

▶Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

▶Rs. 460

▶Rs. 2,400

▶Rs. 3,080

▶Rs. 5,480



Question No: 28 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts be increases by 5%	
What will be the amount of new provision	?

▶Rs. 2,225

▶Rs. 2,425

▶Rs. 1,925

▶Rs. 3,025

Question No: 29 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500



Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

▶**Rs. 2,240**

▶Rs. 2,425

▶Rs. 1,925

▶Rs. 3,025

Question No: 30 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

▶Administrative expenses

▶Selling expenses

▶Marketing expenses

▶**Cost of goods sold**

Question No: 31 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

▶Sole-ownership

▶Private limited company



▶Public limited company

▶Partnership

Question No: 32 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

▶Cost of good sold

▶Indirect cost

▶Selling cost

▶Factory over head cost

Question No: 33 (Marks: 1) - Please choose one

If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

▶Capital Reserve

▶Authorized share capital

▶Paid up share capital

▶Share premium

Question No: 34 (Marks: 1) - Please choose one

A company is said to have been registered when:

▶It gets certificate of incorporation from registrar of Companies

▶It gets certificate of commencement of business from registrar of Companies



▶It actually starts its business

▶It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

Question No: 35 (Marks: 1) - Please choose one

_____ 6% Debentures Account Rs. 3, 00,000. What amount of interest on debentures should be shown in profit and loss account?

▶Rs. 6,000

▶Rs. 3, 00,000

▶**Rs. 18,000**

▶Rs. 3, 18,000

Question No: 36 (Marks: 1) - Please choose one

_____ What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

▶It will be deducted in Income Statement only

▶It will be treated as current liability in balance sheet only

▶It will be treated as current asset in balance sheet only

▶**Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 37 (Marks: 1) - Please choose one

_____ When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?

▶Rs. 62,500



▶Rs. 12,500

▶Rs. 10,000

▶Cannot be calculated with the help of given data

Question No: 38 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

▶Asset

▶Liability

▶Revenue

▶Deferred expense

Question No: 39 (Marks: 1) - Please choose one

Which one of the following is another name of carrying cost of an asset?

▶Book Value

▶Residual Value

▶Fair Value

▶Break up Value

Question No: 40 (Marks: 1) - Please choose one

An overdraft will appear as:

▶A debit balance in both the bank statement and the cash book



▶A credit balance in the bank statement but as a debit balance in the cash book

▶**A credit balance in the cash book but as a debit balance in the bank statement**

▶A credit balance in both the bank statement and the cash book

Question No: 41 (Marks: 1) - Please choose one

_____ Recovery of bad debts is treated as:

▶Profit

▶Revenue

▶**Expense**

▶Asset

Question No: 42 (Marks: 1) - Please choose one

_____ The amount owed by debtors at the end of a month appears on the_____ side of the control account.

▶**Left side or debit**

▶Left side or credit

▶Right side or debit

▶Right side or credit

Question No: 43 (Marks: 1) - Please choose one

_____ The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

▶Left side or credit

▶**Left side or debit**



▶Right side or debit

▶Right side or credit

Question No: 44 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

▶Error of commission

▶Error of omission

▶Error of original entry

▶Error of principle

Question No: 45 (Marks: 1) - Please choose one

Which of the given statement is **CORRECT** if both sides of trial balance are equal?

▶It is proof that no transaction was completely omitted from the ledger during the posting process

▶It is proof that the correct debit or credit balance has been computed for each account

▶It is proof that the ledger is in balance

▶It is proof that transactions have been correctly analyzed and recorded in the proper accounts

Question No: 46 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

▶Assets exceed Expenditure

▶Income exceeds Expenditure



▶Cash Inflow exceeds Cash Outflow

▶Income exceeds Liabilities

Question No: 47 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

▶1:2

▶2:3

▶3:2

▶3:1

Question No: 48 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

▶Income tax payable

▶Prepaid income tax

▶Income tax expense

▶Income tax paid

Question No: 49 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

▶Rs.23,000

▶Rs.28,000

▶Rs.33,000



▶Some other amount

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

▶State Bank of Pakistan

▶Security and Exchange Commission of Pakistan

▶Supreme Court

▶Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

▶Capital reserve

▶General reserve

▶Revaluation reserve

▶None of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following is known as the charter of the company?

▶Prospectus

▶Articles of association

▶Memorandum of association

▶None of the given options



Question No: 53 (Marks: 1) - Please choose one

Statement of cash flows helps the stakeholders to assess:

▶Ability to pay cash dividends in the future

▶All of the given options

▶The ability to generate future cash flows

▶The liquidity of the business

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

▶Receivables

▶Receipts from Capital

▶Current and intangible assets

▶Cash equivalents

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting

Solved by AMBER SHAHEEN

Question No: 1 - Please choose one



Shares for which amount is paid by public are called

_____ shares.

▶Paid up

▶Authorized

▶Bonus shares

▶All are correct options

Question No: 2 - Please choose one

Which of the following is non- profit organization?

▶Sole proprietorship

▶Partnership

▶Limited company

▶Trust

Question No: 3 - Please choose one

Commercial Accounting is based on:

▶Single entry book keeping

▶Double entry book keeping

▶Both single and double entry book keeping

▶Cash basis of book keeping

Question No: 4 - Please choose one



An Asset that is **NOT** physical in nature is called

▶Intangible Asset

▶Liquid Asset

▶Current Asset

▶Fixed Asset

Question No: 5 - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

▶Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

▶Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

▶Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

▶Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 6 - Please choose one

Accounts Receivable & Inventory are the examples of:

▶Liquid assets

▶Current assets

▶Fixed assets

▶Capital assets



Question No: 7 - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

▶Vehicle account

▶Cash account

▶Business account

▶Bank account

Question No: 8 - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

▶Purchases account

▶Mr. Ali account

▶Cash account

▶Sales account

Question No: 9 - Please choose one

In which of the following condition a company will have positive working capital?

▶If current assets > current liabilities

▶If current Assets < current Liabilities

▶If current assets = current liabilities

▶If current assets ≤ current liabilities



Question No: 10 - Please choose one

WhicWhich of the following is an example of direct materials cost?

▶Polish and finishing material for chair

▶A piece of wood for the production of chair

▶Production worker's wages

▶Depreciation expenses

Question No: 11 - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

▶Opening raw material inventory + Purchases – Ending raw material inventory

▶Opening raw material inventory - Purchases + Ending raw material inventory

▶Ending raw material inventory + Opening raw material inventory - Purchases

▶Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 12 - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

▶Rs. 6,000

▶Rs. 8,000

▶Rs. 4,500

▶Rs. 10,500

Question No: 13 - Please choose one



In cost of goods sold statement the 'cost of goods manufactured' is equal to:

▶Total factory cost + Opening work in process + Ending work in process

▶Total factory cost + Opening work in process – Ending work in process

▶Total factory cost - Opening work in process + Ending work in process

▶Ending work in process +Total factory cost – Opening work in process

Question No: 14 - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

▶Rs.25, 000

▶Rs. 75,000

▶Rs. 15,000

▶Rs. 1, 00,000

Question No: 15 - Please choose one

Particulars	**Rs.**
Opening stock of raw material	100,000
Closing stock of raw material	85,000



Purchases of raw material during the period	200, 000
Cost of Material Consumed	**?**

▶Rs. 205,000

▶Rs. 215,000

▶Rs. 220,000

▶Rs. 225,000

Question No: 16 - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

▶Rs.260

▶Rs.232

▶Rs.284

▶Rs.320

Question No: 17 - Please choose one



Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

►Rs. 12,000 liabilities

►Rs. 11,000 liabilities

►Rs. 1, 10,000 liabilities

►Rs. 1, 11,000 liabilities

Question No: 18 - Please choose one

Bank Statement is a record of transactions between the bank and the holder of

►A foreign currency account

►A current account

►A saving account

►All of the given options

Question No: 19 - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

►It is a definite loss to the business

►It is not shown in Balance Sheet



▶No provision is necessary for it

▶All of the given options

Question No: 20 - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet. **▶Rs. 800**

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

▶Rs. 400

▶Rs. 800

▶Rs. 2,000

▶Rs. 2,400

Question No: 21 - Please choose one

Which of the following entry is passed to record discount allowed in control account?

▶Discount Allowed (Dr) and Debtors Control A/c (Cr)

▶Discount Allowed (Dr) and Debtors A/c (Cr)

▶Debtors Control A/c (Dr) and Discount Allowed (Cr)

▶Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 22 - Please choose one



Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

▶Bank Account (Dr.) and Debtor's Account (Cr.)

▶Debtor's Account (Dr.) and Bank Account (Cr.)

▶Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

▶Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

▶Rs. 3,600

▶Rs. 4,000

▶Rs. 1,600

▶Rs. 2, 400

Question No: 24 - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

▶All of the given options are correct

▶It means depreciation has already been deducted from concerned asset account

▶It will be shown as an expense in income statement only

▶It will not be deducted from concerned asset in Balance Sheet



Question No: 25 - Please choose one

_____ The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

▶Subscribers

▶Shareholders

▶Managers

▶Directors

Question No: 26 - Please choose one

_____ Merchandise on hand at either the beginning or end of the reporting period is called_ _____.

▶Raw material

▶Cost of good sold

▶Work in process

▶Inventory

Question No: 27 - Please choose one

_____ In which of the following auditor's remuneration payable is shown?

▶In balance sheet under the head of current liabilities only

▶In balance sheet under the head of current assets only

▶In income statement under the administrative expense only

▶In both balance sheet under the head of current liabilities and income statement under the administrative expense



Question No: 28 - Please choose one

In which of the following interim dividend is treated?

▶In profit and Loss account

▶**In profit and Loss appropriation account**

▶On the asset side of the Balance Sheet

▶In trading account

Question No: 29 - Please choose one

Which of the following documents contains rules and regulations for internal management of the company

▶Memorandum of Association

▶Articles of Association

▶Prospectus

▶Statutory Declaration

Question No: 30 - Please choose one

Which of the following is **NOT** a cash inflow?

▶Sale of fixed asset

▶Issue of debentures

▶Cash from business operation

▶Purchase of fixed asset

Question No: 31 - Please choose one



In cash flow statements, which of the following would appear as a cash outflow?

►The payments for purchases made during the year

►A decrease in trade debtors over the course of an accounting period

►Money received as a result of issuing new shares

►Money received as result of selling fixed assets

Question No: 32 - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

►The limited company form of business allows ownership of the business to be spread amongst many people

►Shareholders can appoint professionals

►Shareholders are personally liable for all the liabilities incurred by the business

►Regular filing of information about the affairs of the company is a legal requirement

Question No: 33 - Please choose one

What does a credit balance in a partner's current account represent to a business?

►Current Assets

►Current Liability

►Long-term liability

►Share of profit

Question No: 34 - Please choose one



A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

▶Decrease assets and liabilities.

▶Increase assets and stockholders' equity.

▶Decrease assets and stockholders' equity.

▶Increase liabilities and decrease stockholders' equity.

Question No: 35 - Please choose one

An uncollectible account receivable is also termed as:

▶Asset

▶Uncollectible asset

▶Uncollectible accounts expense

▶None of the given options

Question No: 36 - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

▶Rs. 5,000

▶Rs. 9,850

▶Rs. 25,000

▶Rs. 14,900

Question No: 37 - Please choose one

Credit sales appear on the _____ side of the Debtors control account.

▶Left side or credit



▶Left side or debit

▶Right side or debit

▶Right side or credit

Question No: 38 - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

▶Rs. 150,000

▶Rs. 100,000

▶Rs. 220,000

▶Rs. 280,000

Question No: 39 - Please choose one

Which of the following is usually not an accrued expense?

▶Wages payable

▶Taxes payable

▶Notes payable

Question No: 40 - Please choose one

Which of the following is **NOT** a financial statement?

▶Balance sheet

▶Audit report

▶Income statement

▶Cash flow statement



Question No: 41 - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

▶A debit to the Cash Received account of Rs. 3,500

▶A credit to the Accounts Receivable account of Rs.2,100

▶A debit to the Cash account of Rs.1,400

▶A debit to the Accounts Receivables account of Rs.1,400

Question No: 42 - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A?

▶Rs.1,320

▶Rs.2,640

▶Rs.3,960

▶Rs.6,600

Question No: 43 - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry

▶Income tax payable

▶Prepaid income tax

▶Income tax expense

▶Income tax paid

Question No: 44 - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:



▶Rs.23,000

▶Rs.28,000

▶Rs.33,000

▶Some other amount

Question No: 45 - Please choose one

Mr. A & B entered into a partnership invested Rs.65,000 and Rs.50,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,000 and of Mr. B is Rs.1,500. The net income for the year is Rs.55,000. What will be the amount of distributable profit?

▶Rs.52,500

▶Rs.56,000

▶Rs.56,500

▶Rs.57,500

Question No: 46 - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

▶Rs.22,500

▶Rs.25,500

▶Rs.27,500

▶Rs.55,000

Question No: 47 - Please choose one

Which of the following is quoted company?



▶Private Limited Company

▶Public Limited Company

▶Listed company

▶Non Listed Company

Question No: 48 - Please choose one

Which of the following can be utilized to issue bonus shares?

▶Reserves

▶Debentures

▶Share premium

▶Term finance certificate

Question No: 49 - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

▶Capital reserve

▶General reserve

▶Revaluation reserve

▶None of the given options

Question No: 50 - Please choose one

Which of the following capital is required for the registration of the company?

▶Issued capital



▶Subscribed capital

▶Authorized capital

▶Reserve capital

Question No: 51 - Please choose one

Which of the following capital is taken up by the general public?

▶Issued capital

▶Subscribed capital

▶Authorized capital

▶Reserve capital

Question No: 52 - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

▶Sales of machinery

▶Capital invested by the owners

▶Purchase of building for the business use

▶Cash received from the disposal of equipment

Question No: 53 - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

▶Statement of retained earnings



▶Statement of financial position

▶Statement of cash flows

▶Statement of changes in equity

Question No: 54 - Please choose one

In statement of cash flows, all of the following items are considered as financing activity, except:

▶Cash received from issuance of

▶Cash received from issuance of bond

▶Payment made for short term debts

▶Collections on loans

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting

Solved by AMBER SHAHEEN

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

▶Accrual accounting only

▶Cash accounting only

▶Both cash and accrual accounting



▶None of the given options

Question No: 2 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

▶Increase in an asset, increase in owner's equity

▶Increase in an asset, increase in a liability

▶Decrease in an asset, decrease in owner's equity

▶Decrease in an asset, decrease in a liability

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

▶Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

▶Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

▶Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

▶Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 4 (Marks: 1) - Please choose one



An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

▶Income Statement

▶Balance Sheet

▶Trial Balance

▶Cash Book

Question No: 5 (Marks: 1) - Please choose one

The unfavorable balance of Profit and Loss account should be:

▶Added in liabilities

▶Subtracted from current assets

▶Subtracted from liabilities

▶Subtracted from capital

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

▶Vehicle account

▶Cash account

▶Business account

▶Bank account



Question No: 7 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

▶Prime cost

▶Conversion cost

▶Sunk cost

▶Opportunity cost

Question No: 8 (Marks: 1) - Please choose one

A decrease in value of a fixed asset due to age, wear and tear is known as:

▶Depreciation

▶Accumulated Depreciation

▶Appreciation

▶Written Down Value

Question No: 9 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

▶Revenue expense

▶Capital expense

▶Administrative expense

▶Operating expense



Question No: 10 (Marks: 1) - Please choose one

Depreciation arises because of:

▶Fall in the market value of an asset

▶Fall in the value of money

▶Physical wear and tear

▶All of the given options

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revaluation of fixed assets?

▶Revaluation should be made after regular intervals

▶Change in value should be permanent

▶Only relevant asset should be revalued in the whole class of asset

▶The profit or loss will be transferred to revaluation account

Question No: 12 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

▶Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for

▶Correct errors in the Cash Book or errors in the Bank Statement



▶Amend the balance of the Bank Statement of the firm

▶Amend the balance in the Cash Book of the firm

Question No: 13 (Marks: 1) - Please choose one

_____ Bank Statement is a record of transactions between the bank and the holder of:

▶A foreign currency account

▶A current account

▶A saving account

▶All of the given options

Question No: 14 (Marks: 1) - Please choose one

_____ Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

▶A cheque is drawn but not yet presented at the bank for payment

▶The bank has not yet notified to Mr. Terry about a dishonoured cheque

▶A credit transfer into Terry's Bank Account

▶A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 15 (Marks: 1) - Please choose one

_____ Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

▶It is a definite loss to the business



▶It is not shown in Balance Sheet

▶No provision is necessary for it

▶All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

▶Bad debt recovered a/c

▶Cash a/c

▶Doubtful debts a/c

▶Bad debts a/c

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

▶Rs. (5,100)

▶Rs. 5,100



▶Rs. (900)

▶Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

▶A's account (Dr.) and B's account (Cr.)

▶B's account (Dr.) and A's account (Cr.)

▶Sales account (Dr.) and B's account (cr.)

▶B's account (Dr.) and Sales account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

▶Bank charges

▶An error on the Bank Statement

▶An uncredited deposit

▶An unpresented cheque

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.



Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

▶**Rs. 600**

▶Rs. 1,600

▶Rs. 2,000

▶Rs. 2,600

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

▶**It is necessary to prepare for showing true picture of balance sheet**

▶It is a reduction from assets

▶It is prepared for specific purposes

▶All of the given options

Question No: 22 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

▶Sole traders do not need to consult accountants

▶Sole traders must register the name of their business with the Registrar of Companies



▶All of the given options

▶A sole trader is liable to pay income tax on his/her earnings

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

▶It will be treated as an other income in Profit & Loss Account

▶It will be treated as a current asset in Balance Sheet

▶It will be treated as a current liability in Balance Sheet

▶It will be treated as an accrued expense in Balance Sheet

Question No: 24 (Marks: 1) - Please choose one

Rent receivable (given in trial balance) is an item of_____.

▶Balance Sheet

▶Profit & Loss Account

▶Trading Account

▶Both Balance Sheet and Profit & Loss Account

Question No: 25 (Marks: 1) - Please choose one

What will the effects on financial statements, if machinery is depreciated @ 10%?

▶It will be treated as an expense in income statement only



▶It will be subtracted from concerned asset only

▶It will be treated as a current asset only

▶It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

▶A merchandising company's business is to buy and sell products

▶A merchandising company must use the perpetual system to account for merchandising inventory

▶A merchandising company's business is to provide services

▶A Sugar Mill is an example of a merchandising company

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman’s salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

▶Rs. 80,000

▶Rs. 60,000

▶Rs. 38,000



▶Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements is **NOT TRUE** about the partnership form of business?

▶A partnership is a business run by two or more persons

▶A partnership business is easy to set up

▶Each partner is liable under the law for the actions of other partners

▶In the absence of agreement, partners will be paid salaries

Question No: 29 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

▶Interest account

▶Partner's capital account

▶Profit and Loss account

▶Profit and loss appropriation account

Question No: 30 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

- A new long-term loan taken out to finance the purchase of fixed assets
- Salaries paid
- **Interest paid on a long-term bank loan**
- The cost of purchasing a patent

Question No: 31 (Marks: 1) - Please choose one



When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

▶Operating activities

▶Financing activities

▶Investing activities

▶None of the given options

Question No: 32 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

▶Capital expenditures on purchase of fixed assets

▶Long-term deposit

▶Financial charges paid

▶Dividend paid

Question No: 33 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

▶Sole-Proprietorship

▶Partnership

▶Trust

▶Public Limited Company

Question No: 34 (Marks: 1) - Please choose one



Which of the given Asset is **Not** included in the calculation acid test ratio?

▶**Stock**

▶Cash

▶Debtors

▶Bills Receivable

Question No: 35 (Marks: 1) - Please choose one

Which of the following ratio tells about "How a company would repays its loans"

▶**Mark up cover ratio**

▶Acid test ratio

▶Current ratio

▶Debt Equity ratio

Question No: 36 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**



▶Rs. 8,000

▶Rs. 92,000

▶Rs. 62,500

▶Rs. 300,000

Question No: 37 (Marks: 1) - Please choose one

Debenture is also named as:

▶Share

▶Bond

▶Equity

▶Reserve

Question No: 38 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

▶It may treated as a deficit

▶It may treated as a surplus

▶It may treated as a revenue

▶None of the given options

Question No: 39 (Marks: 1) - Please choose one

An accounting system is used by a business to:

▶Analyze transactions



▶Handle routine book-keeping tasks

▶Classify and summarize financial information

▶All of the given options

Question No: 40 (Marks: 1) - Please choose one

Which one of the following vouchers is used to record the non-cash transactions?

▶Journal Vouchers

▶Receipt Vouchers

▶Payment Vouchers

▶Nominal Vouchers

Question No: 41 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

▶Rs. 5,500

▶Rs. 8,000

▶Rs. 4,500

▶Rs. 8,500

Question No: 42 (Marks: 1) - Please choose one

Particulars	Rs.



Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	?

▶**Rs.130, 000**

▶Rs.110, 000

▶Rs.140, 000

▶Rs.190, 000

Question No: 43 (Marks: 1) - Please choose one

When we close bad debts account, which of the following account is credited?

▶Profit and loss account

▶Bad debt account

▶Debtor account

▶Provision for bad debt account

Question No: 44 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

▶**Net realizable value is understated**

▶Expenses are understated

▶Revenues are understated



▶Receivables are understated

Question No: 45 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

▶1:2

▶2:3

▶3:2

▶3:1

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the major benefit of a partnership over a sole proprietorship?

▶Unlimited liability

▶Single tax filing

▶Difficult ownership resale

▶Raising capital

Question No: 47 (Marks: 1) - Please choose one

Which of the following is used to convert accounting information from the cash basis of accounting to the accrual basis of accounting?

▶Ledger

▶Journal entries

▶Adjusted entries

▶Trial balance



Question No: 48 (Marks: 1) - Please choose one

_____ Unexpired costs are reported as:

▶Revenues

▶Expenses

▶Assets

▶Income

Question No: 49 (Marks: 1) - Please choose one

_____ The weekly or biweekly compensation received by hourly-paid employees is called:

▶Salary

▶Wages

▶Income

▶Profit

Question No: 50 (Marks: 1) - Please choose one

_____ Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

▶Income tax payable

▶Prepaid income tax

▶Income tax expense

▶Income tax paid

Question No: 51 (Marks: 1) - Please choose one



Which of the following capital is offered to the general public?

▶**Issued capital**

▶Subscribed capital

▶Authorized capital

▶Reserve capital

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

▶**Issued capital**

▶Subscribed capital

▶Authorized capital

▶Reserve capital

Question No: 53 (Marks: 1) - Please choose one

With reference to the statement of cash flows the transactions involving production and delivering goods or providing services must be classified as:

▶Business activities

▶**Operating activities**

▶Financing activities

▶Investing activities

Question No: 54 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:



▶**Sales of machinery**

▶Capital invested by the owners

▶Purchase of building for the business use

▶Cash received from the disposal of equipment

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting

Solved by AMBER SHAHEEN

Question No: 1 (Marks: 1) - Please choose one

_____ Word “Credit” is derived from _____ language.

▶**Latin**

▶English

▶French

▶Chinese

Question No: 2 (Marks: 1) - Please choose one

_____ What is the nature of an expense account?



▶**Debit**

▶Credit

▶Revenue

▶None of the given options

Question No: 3 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

▶**Account**

▶Voucher

▶Journal

▶Trial balance

Question No: 4 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

▶Negative Balance

▶**Debit Balance**

▶Positive Balance

▶Credit Balance

Question No: 5 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?



▶Public limited companies

▶Private limited companies

▶Partnership firms

▶All of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

▶Vehicle account

▶Cash account

▶Business account

▶Bank account

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

▶Rs. 5,000

▶Rs. 25,000



▶Rs. 55,000

▶Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

▶Profit and loss account

▶Balance sheet

▶Statement of financial position

▶All of the given options

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

▶Prime cost

▶Conversion cost

▶Sunk cost

▶Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?



▶Name of organization

▶Bank receipt

▶Debit amount

▶Credit amount

Question No: 11 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

▶Book-keeping

▶Accounting

▶Auditing

▶All of the given options

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

▶Fall in the market value of an asset

▶Fall in the value of money

▶Physical wear and tear

▶All of the given options

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?



▶Bad debt recovered a/c

▶Cash a/c

▶Doubtful debts a/c

▶Bad debts a/c

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

▶Rs. 400

▶Rs. 800

▶Rs. 2,000

▶Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.



Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

▶Rs. (5,100)

▶Rs. 5,100

▶Rs. (900)

▶Rs. 900

Question No: 16 (Marks: 1) - Please choose one

On which of the following system control accounts are based?

▶Double entry book keeping system

▶Single entry book keeping system

▶Cash accounting system

▶All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

▶Discount Received (Dr) and Creditors Control A/c (Cr)



▶Discount Received (Dr) and Creditors A/c (Cr)

▶Creditors Control A/c (Dr) and Discount Received (Cr)

▶Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

▶Rs. 1,000

▶Rs. 9,000

▶Rs. 10,000

▶Rs. 11,000

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

▶A’s account (Dr.) and B’s account (Cr.)

▶B’s account (Dr.) and A’s account (Cr.)

▶Sales account (Dr.) and B’s account (cr.)

▶B’s account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr.”A” Rs. 336 was not recorded at all?

▶Only sales account



▶Only A's account

▶Only cash account

▶Both sales account and A's account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

▶Bank charges

▶An error on the Bank Statement

▶An uncredited deposit

▶An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

▶Rs. 600

▶Rs. 1,000

▶Rs. 2,000



▶Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

▶Rs. 2,240

▶Rs. 2,425

▶Rs. 1,925

▶Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

▶Essential information to internal users of financial reports.

▶Useful economic information about the business to the external parties for sound financial decisions.

▶Information to internal users about the cash position of the business.



▶Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

▶A cash flow statement

▶A retained earnings statement

▶An income statement

▶A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

▶Fixed assets

▶Current liabilities

▶Profit sharing ratio

▶Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

▶Accounts receivable arises when a company buys goods or services from another party on credit

▶Accounts receivable is a miscellaneous category that may include loans to employees

▶Accounts receivable are more formal than notes receivable

▶Accounts receivable are often called trade receivables



Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

▶Partner's capital account

▶Interest account

▶Partner's current account

▶Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

▶Fixed Capital Account

▶Current Account

▶Fluctuating Capital Account

▶Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

▶Name of company

▶Place of registered office of company

▶Objective of the company



▶**All of the given options**

Question No: 31 (Marks: 1) - Please choose one

_____ Preliminary Expenses of the company may write off against:

▶**Share premium account**

▶Share holder account

▶Debtors control account

▶Creditor control account

Question No: 32 (Marks: 1) - Please choose one

_____ What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

▶It will be deducted in Income Statement only

▶It will be treated as current liability in balance sheet only

▶It will be treated as current asset in balance sheet only

▶**Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 33 (Marks: 1) - Please choose one

_____ Which of the following is **NOT** a cash inflow?

▶Sale of fixed asset

▶Issue of debentures

▶Cash from business operation



▶**Purchase of fixed asset**

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

▶**The limited company form of business allows ownership of the business to be spread amongst many people**

▶Shareholders can appoint professionals

▶Shareholders are personally liable for all the liabilities incurred by the business

▶Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

▶Rs. 98,000

▶Rs. 1, 47,000

▶**Rs. 2, 45,000**

▶Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

▶It may treated as a deficit



▶It may treated as a surplus

▶It may treated as a revenue

▶None of the given options

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

▶Cash Account & Capital Account

▶Cash Account & Expense Account

▶Capital Account & Revenue Account

▶Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

▶Customer's account

▶Sales return account

▶Goods account

▶Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:



▶Revenue Expenditures

▶Capital Expenditures

▶Deferred Expenditures

▶None of the given options

Question No: 40 (Marks: 1) - Please choose one

_____ Debts that are not collectible and worthless to the creditor are known as:

▶Doubtful debts

▶Bad debts

▶Provision for doubtful debts

▶Loss

Question No: 41 (Marks: 1) - Please choose one

_____ ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

▶Cash

▶Discount received

▶Creditors

▶Bank



Question No: 42 (Marks: 1) - Please choose one

_____ The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

▶Left side or credit

▶Left side or debit

▶Right side or debit

▶Right side or credit

Question No: 43 (Marks: 1) - Please choose one

_____ Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

▶Error of commission

▶Error of omission

▶Error of original entry

▶Error of principle

Question No: 44 (Marks: 1) - Please choose one

_____ Which of the following accounts would never be reported in the income statement as an expense?

▶Depreciation expense

▶Income tax expense

▶Interest expense

▶Dividends expense

Question No: 45 (Marks: 1) - Please choose one



In the heading of financial statement, _____ is not required?

▶Title of financial statement

▶Name of the person who prepares financial statement

▶Period for which financial statement is prepared

▶Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

▶1:2

▶2:3

▶3:2

▶3:1

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

▶Revenue

▶Net income

▶Expense

▶Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?



▶Rs.89,700

▶Rs.94,700

▶Rs.95,300

▶Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

▶2

▶3

▶5

▶7

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

▶State Bank of Pakistan

▶Security and Exchange Commission of Pakistan

▶Supreme Court

▶Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

▶To write off preliminary expenses

▶To meet the expenses of issue of shares



▶To distribute among the share holders

▶To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

▶Issued capital

▶Subscribed capital

▶Authorized capital

▶Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

▶Current assets and other assets

▶Current liabilities and current assets

▶Current liabilities and plant and equipment

▶Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

▶Rs. 40,000 cash outflow as investing activity

▶Rs. 30,000 cash outflow as investing activity

▶Rs. 10,000 cash inflow as investing activity



▶Rs. 70,000 cash inflow as investing activity

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting

Solved by AMBER SHAHEEN

Question No: 1 (Marks: 1) - Please choose one

_____ We can say that the business is in profit, when:

▶Assets exceed Expenditure

▶Assets exceed Liabilities

▶Income exceeds Expenditure

▶Income exceeds Liabilities

Question No: 2 (Marks: 1) - Please choose one

_____ Term "Credit" means_____ by the business.

▶Receiving of benefits

▶It has no effect on business

▶Providing of benefits

▶It depends upon items



Question No: 3 (Marks: 1) - Please choose one

According to the double entry system of accounting, an account that obtains benefit is:

▶Debit

▶Credit

▶Income

▶No need to show as accounting record

Question No: 4 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

▶Right or debit side of the account

▶Left or debit side of the account

▶Left or credit side of the account

▶Right or credit side of the account

Question No: 5 (Marks: 1) - Please choose one

When Capital is increased by an amount, it is recorded on the:

▶Left or credit side of the account

▶Right or debit side of the account

▶Left or debit side of the account

▶Right or credit side of the account



Question No: 6 (Marks: 1) - Please choose one

Bank book is part of:

▶Voucher

▶General Journal

▶General Ledger

▶Trial Balance

Question No: 7 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

▶Selling Expenses

▶General Expenses

▶Financial Expenses

▶All of the given options

Question No: 8 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

▶Profit & Loss Account

▶Cash Flow Statement

▶Balance Sheet

▶Income & Expenditure Account



Question No: 9 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of intangible assets?

▶Franchise rights

▶Goodwill

▶Patents

▶Land

Question No: 10 (Marks: 1) - Please choose one

Which of the following is an example of business liability?

▶Land

▶Building

▶Cash

▶Capital

Question No: 11 (Marks: 1) - Please choose one

The unfavorable balance of Profit and Loss account should be:

▶Added in liabilities

▶Subtracted from current assets

▶Subtracted from liabilities

▶Subtracted from capital



Question No: 12 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

▶Purchases account

▶Mr. Ali account

▶Cash account

▶Sales account

Question No: 13 (Marks: 1) - Please choose one

Interest on loan paid by business is an example of :

▶Deferred expense

▶Revenue expense

▶Capital expense

▶None of the given options

Question No: 14 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

▶Appreciation

▶Depreciation

▶Fluctuation



▶None of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is **NOT** a function of bank reconciliation statement?

▶To reconcile the difference between the cash book and the bank statement

▶To check for errors in balance sheet

▶To update omitted entries into the cash book

▶To update omitted entries into the bank statement

Question No: 16 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

▶Cash account (Dr.) & Bad Debts recovered account (Cr.)

▶Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

▶Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

▶Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 17 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

▶Sales Day Book

▶Sales Return



▶Debtors Ledger

▶All of the given options

Question No: 18 (Marks: 1) - Please choose one

_____ Sales are calculated by adding:

▶Cash sales and cash received from debtors

▶Credit sales and cash received from debtors

▶Cash sales and credit sales

▶Cash ales and credit purchases

Question No: 19 (Marks: 1) - Please choose one

_____ Which of the following item will be shown on debit side of debtors account?

▶Discount received

▶Return inwards

▶Discount allowed

▶Credit sales

Question No: 20 (Marks: 1) - Please choose one

_____ Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

▶Increase of gross profit



▶**Decrease of gross profit**

▶Remains constant and no effect on net profit

▶There is no relation between goods purchased and gross profit

Question No: 21 (Marks: 1) - Please choose one

_____ Goods of Rs.1,000 purchased from Mr. "A" were recorded in sales book, the rectification of this error will:

▶Increase the gross profit

▶**Reduce the gross profit**

▶Have no effect on gross Profit

▶None of the given options

Question No: 22 (Marks: 1) - Please choose one

_____ Which of the following account will be credited when a typewriter is sold that has been used in the office?

▶Cash Account

▶Sales Account

▶Purchase Account

▶**Office Equipment Account**

Question No: 23 (Marks: 1) - Please choose one

_____ When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:



▶Error of principle

▶Error of omission

▶Error of commission

▶Error of original entry

Question No: 24 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

▶Bank charges

▶An error on the Bank Statement

▶An uncredited deposit

▶An unpresented cheque

Question No: 25 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

▶Rs. 3,600

▶Rs. 4,000

▶Rs. 1,600

▶Rs. 2, 400

Question No: 26 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?



▶Purchasing operating equipment

▶Purchasing cleaning services

▶Purchasing an investment in another company

▶Purchasing a computer for the accounting office

Question No: 27 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

▶Salaries of selling staff

▶Transportation inward costs

▶Import duties

▶Purchase price

Question No: 28 (Marks: 1) - Please choose one

Which of the following will be debited, if cash is drawn by Proprietor?

▶Proprietor's drawings

▶Proprietor's cash

▶Proprietor's capital

▶Proprietor's income

Question No: 29 (Marks: 1) - Please choose one



Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

▶It will be treated as an other income in Profit & Loss Account

▶It will be treated as a current asset in Balance Sheet

▶It will be treated as a current liability in Balance Sheet

▶It will be treated as an accrued expense in Balance Sheet

Question No: 30 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

▶Trading account only

▶Balance sheet only

▶Owner's equity only

▶Both Trading account and Balance sheet

Question No: 31 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

▶Total assets employed

▶Total liabilities

▶Total assets

▶Current assets

Question No: 32 (Marks: 1) - Please choose one



Current accounts of the partners should be opened when the capitals are:

▶Fixed

▶Fluctuating

▶Floating

▶Normal

Question No: 33 (Marks: 1) - Please choose one

Which of the following is (are) type(s) of Public Limited Companies?

▶Listed company

▶Non listed company

▶Private limited company

▶Both Listed Company and non listed company

Question No: 34 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

▶The memorandum of association

▶Articles of association

▶Statutory report

▶Certificate of commencement

Question No: 35 (Marks: 1) - Please choose one

Merchandise on hand at either the beginning or end of the reporting period is called_____.



▶Raw material

▶Cost of good sold

▶Work in process

▶Inventory

Question No: 36 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

▶Rs. 205,000

▶Rs. 215,000

▶Rs. 195,000

▶Rs. 200,000

Question No: 37 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

▶Rs. 8,000

▶Rs. 92,000



▶Rs. 62,500

▶Rs. 300,000

Question No: 38 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	**?**

▶15: 20 (or 3:4)

▶15:24 (or 5: 8)

▶15:29

▶15:35 (or 3: 7)

Question No: 39 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:



▶Decrease assets and liabilities.

▶Increase assets and stockholders' equity.

▶Decrease assets and stockholders' equity.

▶Increase liabilities and decrease stockholders' equity.

Question No: 40 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	?

▶Rs.130, 000

▶Rs.110, 000

▶Rs.140, 000

▶Rs.190, 000

Question No: 41 (Marks: 1) - Please choose one

What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

▶Rs. 3,000

▶Rs. 5,000



▶Rs. 7,000

▶Rs. 8,000

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

▶Left side or debit

▶Left side or credit

▶Right side or debit

▶Right side or credit

Question No: 43 (Marks: 1) - Please choose one

Which of the following is correct for an account has debit balance?

▶The amount of the debits exceeds the amount of the credits

▶There are more entries on the debit side than on the credit side

▶Its normal balance is debit without regard to the amounts on the debit side

▶The last entry of the accounting period was posted on the debit side

Question No: 44 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

▶Rs.52,500

▶Rs.42,500

▶Rs.43,500



▶Rs.50,500

Question No: 45 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

▶Rs.42,350

▶Rs.44,150

▶Rs.41,600

▶Rs.40,850

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

▶Rs.89,700

▶Rs.94,700

▶Rs.95,300

▶Rs.100,300

Question No: 47 (Marks: 1) - Please choose one

Which of the following can be distributed among the share holders?

▶Capital reserve

▶General reserve

▶Revaluation reserve

▶All of the given options



Question No: 48 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

- **▶Issued capital**
- ▶Subscribed capital
- ▶Authorized capital
- ▶Reserve capital

Question No: 49 (Marks: 1) - Please choose one

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ▶Provision for doubtful debts
- ▶Gain or loss on currency exchange rate
- ▶Depreciation charged on fixed asset
- **▶Amount received for disposal of a fixed asset**

Question No: 50 (Marks: 1) - Please choose one

Primary purpose of the cash flows statement is to provide the information about:

- ▶Errors or discrepancies between cash book and income statement
- **▶Receipt and payment of cash in the period**
- ▶Non cash adjustment that effect the income statement
- ▶Cash paid to the customers and creditors of the business

Question No: 51 (Marks: 1) - Please choose one



Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

▶Balance Sheet

▶Income Statement

▶Statement of cash flows

▶Statement of changes in equity

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

▶Sales of machinery

▶Capital invested by the owners

▶Purchase of building for the business use

▶Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

▶Current assets and other assets

▶Current liabilities and current assets

▶Current liabilities and plant and equipment

▶Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

Which of the following is measured by debt ratio?



▶**Short-term liquidity**

▶Creditors' long term risk

▶Short-term risk of the company

▶All of the given options

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Question No: 1 (Marks: 1) - Please choose one

_____ Shares for which amount is paid by public are called _____ shares.

▶**Paid up**

▶Authorized

▶Bonus shares

▶All are correct options

Question No: 2 (Marks: 1) - Please choose one

_____ If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

▶For the year 2008 only

▶For the last day of 10th year only

▶**Over 10 years**



▶Nothing can be said about it

Question No: 3 (Marks: 1) - Please choose one

What is the nature of an expense account?

▶Debit

▶Credit

▶Revenue

▶None of the given options

Question No: 4 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

▶Account

▶Voucher

▶Journal

▶Trial balance

Question No: 5 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

▶Profit & Loss account



▶Income & Expenditure account

▶Receipts & Payments account

▶Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Which of the following organizations prepare Income & Expenditure account?

▶Public libraries

▶NGOs

▶Labor unions

▶All of the given options

Question No: 7 (Marks: 1) - Please choose one

The favorable balance of Profit and Loss account should be:

▶Added in liabilities

▶Subtracted from current assets

▶Subtracted from liabilities

▶Added in capital

Question No: 8 (Marks: 1) - Please choose one

Which of the following entry will be recorded in the books of accounts for the goods returned to Mr. 'A'?



▶Purchases return account (Dr) and Trading account (Cr)

▶Mr." A"/ creditor account (Dr) and purchases return account (Cr)

▶Purchases return account (Dr) and Mr." A" / creditor account (Cr)

▶Mr." A"/ creditor account (Dr) and Profit & Loss account (Cr)

Question No: 9 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

▶Purchases account

▶Mr. Ali account

▶Cash account

▶Sales account

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs.1,00,000, sales are Rs. 300,000 and operating expenses Rs. 200,000 during the year. What would be the Gross Profit?

▶Rs. 5,000

▶Rs. 1, 00,000

▶Rs.1, 05,000

▶Rs. 2, 00,000



Question No: 11 (Marks: 1) - Please choose one

Partially completed products that are not yet ready for sale are known as:

▶Raw material

▶Work in process

▶Finished goods

▶Closing stock

Question No: 12 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

▶Conversion cost

▶Prime cost

▶Total factory cost

▶Cost of goods manufactured

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

▶To calculate true profit

▶To show the asset on market value

▶To reduce tax Burdon

▶To provide funds for replacement



Question No: 14 (Marks: 1) - Please choose one

Under the reducing balance method of depreciation:

▶Amount of depreciation increases every year

▶Amount of depreciation remains constant for every year

▶Amount of depreciation decreases every year

▶None of the given options

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

▶Rs. 1, 29,000

▶Rs. 1, 50,000

▶Rs. 1, 21,000

▶Rs. 71,000

Question No: 16 (Marks: 1) - Please choose one



In which of the following condition(s) **DEBT** is regarded as **BAD**.

▶Bankruptcy of the debtor

▶Disappearance of debtor's business

▶Failure of repeated attempt to collect the debt

▶All of the given options

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

▶Rs. (5,100)

▶Rs. 5,100

▶Rs. (900)

▶Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ



Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

▶Rs. 460

▶Rs. 2,400

▶Rs. 1,540

▶Rs. 3,940

Question No: 19 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

▶Plant account

▶Carriage account

▶Both plant account and carriage account

▶Trading account

Question No: 20 (Marks: 1) - Please choose one

_____ are committed in those cases where proper distinction between revenue and capital items is not made.



▶**Error of principle**

▶Error of omission

▶Error of commission

▶Error of original entry

Question No: 21 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

▶Rs. 1,000

▶**Rs. 9,000**

▶Rs. 10,000

▶Rs. 11,000

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000



▶Rs. 600

▶Rs. 1,600

▶Rs. 2,000

▶Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

▶Essential information to internal users of financial reports.

▶Useful economic information about the business to the external parties for sound financial decisions.

▶Information to internal users about the cash position of the business.

▶Information to the Securities Exchange Commission (SEC).

Question No: 24 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

▶Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)

▶Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)

▶Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)

▶Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 25 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?



▶Cash

▶Drawings

▶Debtors

▶Profit

Question No: 26 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

▶Trading account only

▶Balance sheet only

▶Owner's equity only

▶Both Trading account and Balance sheet

Question No: 27 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

▶Total assets employed

▶Total liabilities

▶Total assets

▶Current assets

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?



▶Interest account

▶Partner's capital account

▶Profit and Loss account

▶Profit and loss appropriation account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is(are) type(s) of capital account in partnership?

- Fixed Capital
- Current Capital
- Fluctuating Capital
- **Both Fixed Capital and Fluctuating Capital**

Question No: 30 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

▶Fixed Capital Account

▶Current Account

▶Fluctuating Capital Account

▶Floating Capital Account

Question No: 31 (Marks: 1) - Please choose one

Which of the following is (are) type(s) of Public Limited Companies?



▶Listed company

▶Non listed company

▶Private limited company

▶Both Listed Company and non listed company

Question No: 32 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

▶Name of company

▶Place of registered office of company

▶Objective of the company

▶All of the given options

Question No: 33 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

▶Share capital account

▶Right share

▶Share premium account

▶Share holder account

Question No: 34 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:



▶**Share premium account**

▶Share holder account

▶Debtors control account

▶Creditor control account

Question No: 35 (Marks: 1) - Please choose one

Which of the following account will be debited if shares issued against cash?

▶**Share premium account**

▶Cash account

▶Share capital account

▶Profit and loss account

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

▶**Memorandum of Association**

▶Articles of Association

▶Prospectus

▶Annual Report

Question No: 37 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?



▶Memorandum of Association

▶Articles of Association

▶Prospectus

▶Statutory Declaration

Question No: 38 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

▶ Provision

▶Current liability

▶Reserves and surplus

▶Current assets

Question No: 39 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

▶Its financial position at the end of an accounting period

▶Its cash receipts and cash payments during an accounting period

▶Its financial position at the start of an accounting period

▶None of the given options

Question No: 40 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?



▶The repayments of a bank loan

▶Dividend issue in the current year

▶Money received as result of selling fixed assets

▶The difference between the valuations of old and new fixed assets

Question No: 41 (Marks: 1) - Please choose one

_____ Debenture is also named as:

▶Share

▶Bond

▶Equity

▶Reserve

Question No: 42 (Marks: 1) - Please choose one

_____ Prepaid interest given in the Trial Balance will be treated as a (an):

▶Asset

▶Liability

▶Revenue

▶Deferred expense

Question No: 43 (Marks: 1) - Please choose one

_____ Wages outstanding given in the trial balance will be treated as a (an):



▶Asset

▶Liability

▶Revenue

▶Deferred expense

Question No: 44 (Marks: 1) - Please choose one

Which of the following fixed asset is normally appreciated with the passage of time?

▶Land

▶Vehicles

▶Furniture

▶Machinery

Question No: 45 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

▶Revenue Expenditures

▶Capital Expenditures

▶Deferred Expenditures

▶None of the given options



Question No: 46 (Marks: 1) - Please choose one

Accounts receivables are shown in balance sheet at:

▶Net realizable value

▶Total collectible amount

▶Current value

▶Collected amount

Question No: 47 (Marks: 1) - Please choose one

Stock account is credited and creditors account is debited, which of the following is reflecting the statement?

▶Discount received

▶Goods returned

▶Purchase of goods on credit

▶Payment of goods

Question No: 48 (Marks: 1) - Please choose one

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

▶Rs. 21,000

▶Rs. 51,000

▶Rs. 36,000

▶Rs. 15,000



Question No: 49 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

▶Commission

▶Allowance

▶Discount

▶Rebate

Question No: 50 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial statement?

▶Balance sheet

▶Audit report

▶Income statement

▶Cash flow statement

Question No: 51 (Marks: 1) - Please choose one

In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?

▶1:2

▶2:3

▶3:2

▶2:1

Question No: 52 (Marks: 1) - Please choose one



Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

▶Interest expense

▶Interest payable

▶Prepaid interest

▶Interest paid

Question No: 53 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

▶To write off preliminary expenses

▶To meet the expenses of issue of shares

▶To distribute among the share holders

▶To issue bonus shares

Question No: 54 (Marks: 1) - Please choose one

Which of the following ratio cannot be computed for a period in which the company incurs a net loss?

▶Acid-test ratio

▶Return on investment

▶Price-earning ratio

▶None of the given options

FINALTERM EXAMINATION

Fall 2009



MGT101- Financial Accounting

Solved by AMBER SHAHEEN

Question No: 1 (Marks: 1) - Please choose one

_____ Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

▶Partnership

▶Company

▶Sole proprietorship

▶None of the given options

Question No: 2 (Marks: 1) - Please choose one

_____ Term "Credit" means_____ by the business.

▶Receiving of benefits

▶It has no effect on business

▶Providing of benefits

▶It depends upon items

Question No: 3 (Marks: 1) - Please choose one

_____ What would be the affect on the components of the accounting equation, if goods are purchased on cash?

▶Increase in cash and decrease in equity



▶Increase in cash and increase in goods

▶Increase in goods and decrease in cash

▶Increase in equipment and increase in equity

Question No: 4 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

▶Right or debit side of the account

▶Left or debit side of the account

▶Left or credit side of the account

▶Right or credit side of the account

Question No: 5 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

▶Liquid assets

▶Current assets

▶Fixed assets

▶Capital assets

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of Current Asset?

▶Bank Overdraft



▶Accounts Receivable

▶Notes Receivable

▶Prepaid Expenses

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

▶Rs. 5,000

▶Rs. 25,000

▶Rs. 55,000

▶Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement is **NOT** true about the Journal voucher?

▶Financial data is picked only from Journal vouchers to Journal

▶These are used to record all transaction other than cash & bank

▶These are used to make corrections or adjustments to previous Receipts

▶Format of Journal voucher is different from other vouchers



Question No: 9 (Marks: 1) - Please choose one

Which one of the following is **CORRECT** about the closing stock?

▶It appears in the assets side of a balance sheet

▶It decreases the value of cost of goods sold

▶It becomes opening stock of next year

▶All of the given option

Question No: 10 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

▶Conversion cost

▶Prime cost

▶Total factory cost

▶Cost of goods manufactured

Question No: 11 (Marks: 1) - Please choose one

Consider the following ventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385



May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

▶Rs. 1,225

▶Rs. 1,015

▶Rs. 965

▶Rs. 992

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

▶Rs.260

▶Rs.232

▶Rs.284



▶Rs.268

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

▶These are the running expenses of the business

▶They improve the financial position of the business

▶They reduce the profit of the concern

▶They do not appear in the balance sheet

Question No: 14 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

▶A memorandum statement

▶A ledger account

▶A part of cash book

▶A part of journal

Question No: 15 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

▶Current assets

▶Liquid assets



▶Floating assets

▶Fixed assets

Question No: 16 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

▶Cash account

▶Furniture account

▶Vehicle account

▶Capital account

Question No: 17 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

▶Bankruptcy of the debtor

▶Disappearance of debtor's business

▶Failure of repeated attempt to collect the debt

▶All of the given options

Question No: 18 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?



▶Bad debts a/c (Dr) and Trading a/c (Cr)

▶Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)

▶Bad debts a/c (Dr) and debtors a/c (Cr)

▶Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 19 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

▶Subsidiary Ledgers

▶Creditors Control Accounts

▶Debtors Control Accounts

▶All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

▶It tells about customer attitude of payments

▶It can be checked against the control account to pick up recording errors

▶It tells about the complete history of transactions of business client

▶All of the given options

Question No: 21 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:



▶Error of principle

▶Error of omission

▶Error of commission

▶Error of original entry

Question No: 22 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

▶Rs. 3,600

▶Rs. 4,000

▶Rs. 1,600

▶Rs. 2, 400

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	



Identify the Total amount deducted from Sundry debtors.

▶Rs. 460

▶Rs. 2,400

▶Rs. 3,080

▶Rs. 5,480

Question No: 24 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

▶Debtor's Control Account

▶Balance Sheet

▶Profit & Loss Account

▶Bills Payable Account

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a selling expense?

▶Interest on deposits

▶Any tax/freight is paid on purchases

▶General salaries paid to laborers

▶Tax & freight paid on sale

Question No: 26 (Marks: 1) - Please choose one



Which of the following item will be shown on debit side of capital account of sole proprietor?

▶Cash

▶Drawings

▶Debtors

▶Profit

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

▶Rs. 80,000

▶Rs. 60,000

▶Rs. 38,000

▶Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one



The income statement of the Limited company is also known as:

▶Manufacturing account

▶Profit and Loss account

▶Profit and Loss Appropriation account

▶Current Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

▶Memorandum of Association

▶Articles of Association

▶Prospectus

▶Annual Report

Question No: 30 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

▶None of the given options

▶General reserve

▶Accumulated profit and loss (credit balance)

▶Revaluation reserves

Question No: 31 (Marks: 1) - Please choose one



Which of the following is a common way to evaluate a company's performance?

▶Compare this year's performance of the company to a prior year's performance of the company.

▶Compare the company's performance to the industry's performance.

▶Compare the company's performance to the performance of a competing company.

▶All of the given options

Question No: 32 (Marks: 1) - Please choose one

Current ratio may be increased by:

▶Overstating current Assets

▶Overstating current Liabilities

▶Understating current Assets

▶Understating current assets and overstating current liabilities

Question No: 33 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

▶Rs. 98,000

▶Rs. 1, 47,000

▶Rs. 2, 45,000

▶Rs. 3, 43,000



Question No: 34 (Marks: 1) - Please choose one

Mr. B provided the following information at the end of the month:

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are the total assets of Mr. B?

▶Rs.200

▶Rs. 600

▶Rs. 800

▶Rs. 1,700

Question No: 35 (Marks: 1) - Please choose one

An overdraft will appear as:

▶A debit balance in both the bank statement and the cash book

▶A credit balance in the bank statement but as a debit balance in the cash book

▶A credit balance in the cash book but as a debit balance in the bank statement

▶A credit balance in both the bank statement and the cash book



Question No: 36 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

▶Profit and loss account

▶Bad debt account

▶Debtor account

▶Creditor account

Question No: 37 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

▶Debit stock account and credit creditors account

▶Debit creditors account and credit cash account

▶Debit cash account and credit creditors account

▶Debit stock account and credit cash account

Question No: 38 (Marks: 1) - Please choose one

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

▶Rs. 2,000

▶Rs. 3,000

▶Rs. 30,000

▶Rs. 150,000



Question No: 39 (Marks: 1) - Please choose one

The amount owed by _____ debtors at the end of a month appears on the_____ side of the control account.

▶Left side or debit

▶Left side or credit

▶Right side or debit

▶Right side or credit

Question No: 40 (Marks: 1) - Please choose one

We usually allow the _____ customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

▶Commission

▶Allowance

▶Discount

▶Rebate

Question No: 41 (Marks: 1) - Please choose one

Which of the following is _____ decreased when an asset is converted into expense in adjustment?

▶Revenue

▶Net income

▶Expense

▶Liability

Question No: 42 (Marks: 1) - Please choose one



Which of the following is increased when an asset is converted into expense in adjustment?

▶Revenue

▶Net income

▶Expense

▶Liability

Question No: 43 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

▶Fixed asset

▶Current asset

▶Contra asset

▶Liability

Question No: 44 (Marks: 1) - Please choose one

Prepaid insurance will become an expense as the prepaid amount _____.

▶Expires

▶Adjust

▶Paid

▶Regulate

Question No: 45 (Marks: 1) - Please choose one

Adjusting costs are reported as:



▶Revenues

▶Expenses

▶Assets

▶Net Income

Question No: 46 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

▶Insurance payable

▶Prepaid insurance

▶Advance payment account

▶Insurance expense

Question No: 47 (Marks: 1) - Please choose one

Profit and loss sharing in partnership must be based on which of the following:

▶Service to the partnership

▶Capital contribution

▶Any profit-and-loss-sharing method partners desire

▶A stated fraction

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

▶Rs.42,350



▶Rs.44,150

▶Rs.41,600

▶Rs.40,850

Question No: 49 (Marks: 1) - Please choose one

Which of the following is quoted company?

▶Private Limited Company

▶Public Limited Company

▶Listed company

▶Non Listed Company

Question No: 50 (Marks: 1) - Please choose one

For which of the following share premium can be utilized?

▶To write off preliminary expenses

▶To meet the expenses of issue of shares

▶To issue bonus shares

▶All of the given options

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to meet the expenses of issue of shares?

▶Reserves

▶Debentures

▶Share premium



▶Term finance certificate

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

▶Issued capital

▶Subscribed capital

▶Authorized capital

▶Reserve capital

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

▶Statement of retained earnings

▶Statement of financial position

▶Statement of cash flows

▶Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

Which of the following is measured by debt ratio?

▶Short-term liquidity

▶Creditors' long term risk

▶Short-term risk of the company

▶All of the given options



FINAL TERM PAPERS

2010

MGT101 FINANCIAL ACCOUNTING

Solved by AMBER SHAHEEN

Question No: 1 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

► For the year 2008 only

► For the last day of 10th year only

► **Over 10 years**

► Nothing can be said about it

Question No: 2 (Marks: 1) - Please choose one

Assets total Rs.50, 000 and Liabilities total Rs.10, 000. What is the equity of the business?

► **Rs. 40, 000**

► Rs. 60, 000

► Rs. 10,000

► Rs. 50,000

Question No: 3 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

► Increase in an asset, increase in owner's equity



► Increase in an asset, increase in a liability

► Decrease in an asset, decrease in owner's equity

► **Decrease in an asset, decrease in a liability**

Question No: 4 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity

► Increase in cash and increase in goods

► **Increase in goods and decrease in cash**

► Increase in equipment and increase in equity

Question No: 5 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher

► **General Journal**

► General Ledger

► Trial balance

Question No: 6 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:



► Pass Book

► **Cash Book**

► Purchase Book

► Sales Book

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Trading account?

► **It inculdes cost of goods sold and all the direct expenses related to sales**

► It inculdes cost of goods sold and all the indirect expenses related to sales

► It inculdes cost of goods sold and all the direct and indirect expenses

► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 8 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if the payment of furniture purchased is made through cheque?

► **Furniture account (Dr) and Bank account (Cr)**

► Furniture account (Dr) and Profit & Loss account (Cr)

► Furniture account (Dr) and Cash account (Cr)

► Cash account (Dr) and Furniture account (Cr)

Question No: 9 (Marks: 1) - Please choose one



Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

- ► Capital account
- ► Sundry creditors account
- ► Accounts payable account
- ► **Cash account**

Question No: 10 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- ► **Profit and loss account**
- ► Balance sheet
- ► Statement of financial position
- ► All of the given options

Question No: 11 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

- ► Rs. 6,000
- ► Rs. 8,000
- ► **Rs. 4,500**
- ► Rs. 10,500



Question No: 12 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► **Total factory cost + Opening work in process + Ending work in process**

► Total factory cost + Opening work in process – Ending work in process

► Total factory cost - Opening work in process + Ending work in process

► Ending work in process +Total factory cost – Opening work in process

Question No: 13 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Written down value of asset at the end of 5th year	Rs.25,000
Profit or loss on disposal of fixed assets	**?**

► **Rs.25, 000 profit**

► Rs. 75,000 loss

► Rs. 15,000 profit

► Rs. 1, 00,000 profit

Question No: 14 (Marks: 1) - Please choose one



If, Cost of machine = Rs.400, 000

Useful life = 5 years

Rate of depreciation= 40%

The book value of machine after one years using diminishing balance method is ?

- ► Rs.86, 400
- ► Rs. 1, 44,000
- ► **Rs. 2, 40,000**
- ► Rs. 51,840

Question No: 15 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

- ► Revenue expense
- ► **Capital expense**
- ► Administrative expense
- ► Operating expense

Question No: 16 (Marks: 1) - Please choose one

Consider the following data:



Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

► Rs. 1, 98,000

► Rs. 49,000

► Rs. 55,000

► **Rs. 4, 40,000**

Question No: 17 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

► **A cheque is drawn but not yet presented at the bank for payment**

► The bank has not yet notified to Mr. Terry about a dishonoured cheque

► A credit transfer into Terry's Bank Account

► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 18 (Marks: 1) - Please choose one



Which of the following account will be debited, when the bad debts are recovered?

- ► Bad debt recovered a/c
- ► **Cash a/c**
- ► Doubtful debts a/c
- ► Bad debts a/c

Question No: 19 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► **Debtors Ledger**
- ► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

- ► It tells about customer attitude of payments
- ► It can be checked against the control account to pick up recording errors
- ► It tells about the complete history of transactions of business client
- ► **All of the given options**



Question No: 21 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

- ► Sales account
- ► Rahim's account
- ► Cash account
- ► **Both sales and Rahim's Account**

Question No: 22 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

- ► Sales account
- ► **Rahim's account**
- ► Cash account
- ► Both sales and Rahim's Account

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

- ► Plant account
- ► Carriage account
- ► **Both plant account and carriage account**



► Trading account

Question No: 24 (Marks: 1) - Please choose one

_____ Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► **Increase of gross profit**

► Decrease of gross profit

► Remains constant and no effect on net profit

► There is no relation between goods purchased and gross profit

Question No: 25 (Marks: 1) - Please choose one

_____ Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)

► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 26 (Marks: 1) - Please choose one

_____ Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,500



Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► **Rs. (1,000)**

► Rs. 1,000

► Rs. (5,000)

► Rs. 5,000

Question No: 27 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.

► Useful economic information about the business to the external parties for sound financial decisions.

► **Information to internal users about the cash position of the business.**

► Information to the Securities Exchange Commission (SEC).

Question No: 28 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

► **Administrative expenses**

► Selling expenses

► Marketing expenses

► Cost of goods sold



Question No: 29 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

- ► **Salaries of selling staff**
- ► Transportation inward costs
- ► Import duties
- ► Purchase price

Question No: 30 (Marks: 1) - Please choose one

General office expenses are charged to which of the following head:

- ► **Administrative expenses**
- ► Marketing expenses
- ► Selling expenses
- ► Financial expenses

Question No: 31 (Marks: 1) - Please choose one

Which of the following is (are) characteristic(s) of Reserve?

- ► Its amount is generally determined by the management on the basis of the amount of profit earned.
- ► It is shown on liabilities side of balance sheet
- ► It does not affect profit or loss, since it is created after ascertaining net profit
- ► **All of the given options**



Question No: 32 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

► It will be treated as an other income in Profit & Loss Account

► **It will be treated as a current asset in Balance Sheet**

► It will be treated as a current liability in Balance Sheet

► It will be treated as an accrued expense in Balance Sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► **Accounts receivable are often called trade receivables**

Question No: 34 (Marks: 1) - Please choose one

Which of the following is(are) type(s) of capital account in partnership?

► Fixed Capital

► Current Capital

► Fluctuating Capital

► **Both Fixed Capital and Fluctuating Capital**



Question No: 35 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- **Share premium account**
- Share holder account
- Debtors control account
- Creditor control account

Question No: 36 (Marks: 1) - Please choose one

Which of the following is (are) shown as notes to the accounts.

- Nature of the business of the company
- Accounting polices of the business
- Details and explanations of items given in Balance Sheet
- **All of the given options**

Question No: 37 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

- Capital expenditures on purchase of fixed assets
- Long-term deposit
- Financial charges paid
- **Dividend paid**

Question No: 38 (Marks: 1) - Please choose one



What does a credit balance in a partner's current account represent to a business?

► Current Assets

► Current Liability

► Long-term liability

► **Share of profit**

Question No: 39 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000

► **Rs. 1, 47,000**

► Rs. 2, 45,000

► Rs. 3, 43,000

Question No: 40 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

► Rs. 98,000

► Rs. 1, 47,000

► **Rs. 2, 45,000**

► Rs. 3, 43,000



Question No: 41 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be credited while entering in journal?

- ► Cash
- ► Discount received
- ► **Creditors**
- ► Bank

Question No: 42 (Marks: 1) - Please choose one

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

- ► Rs. 2,000
- ► Rs. 3,000
- ► **Rs. 30,000**
- ► Rs. 150,000

Question No: 43 (Marks: 1) - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

- ► **Rs. 5,000**
- ► Rs. 9,850
- ► Rs. 25,000
- ► Rs. 14,900

Question No: 44 (Marks: 1) - Please choose one

The total credit sales for the period will be obtained from:



► Sales returns day book

► Cash book

► Journal

► **Sales day book**

Question No: 45 (Marks: 1) - Please choose one

Stockholder's equity would not be affected by:

► Dividends to stockholders

► Net loss

► **Purchase of land from the proceeds of bank loan**

► Investments of cash by stockholders

Question No: 46 (Marks: 1) - Please choose one

Which of the following is known as an asset account?

► Gains

► **Prepaid insurance**

► Unearned revenue

► Accounts payable

Question No: 47 (Marks: 1) - Please choose one

Dillon Company sold marketable securities Costing Rs.60,000 for Rs.72,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

► A Rs.72,000 gain and a Rs.6,000 cash receipt

► A Rs.12,000 gain and a Rs.72,000 cash receipt



► **A Rs.12,000 gain and a Rs.60,000 cash receipt**

► A Rs.72,000 sale and a Rs.72,000 cash receipt

Question No: 48 (Marks: 1) - Please choose one

Profits earned by partnerships compensate the owners for which of the following?

► Personal services rendered to the business

► Capital invested in the business

► Assuming the risks of ownership

► **All of the given options**

Question No: 49 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

► Rs.52,500

► Rs.42,500

► **Rs.43,500**

► Rs.50,500

Question No: 50 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2

► 3

► 5

► **7**



Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

- ► Reserves
- ► Debentures
- ► **Share premium**
- ► Term finance certificate

Question No: 52 (Marks: 1) - Please choose one

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- ► Balance Sheet
- ► Income Statement
- ► **Statement of cash flows**
- ► Statement of changes in equity

Question No: 53 (Marks: 1) - Please choose one

Which of the following is measured by debt ratio?

- ► Short-term liquidity
- ► Creditors' long term risk
- ► Short-term risk of the company
- ► **All of the given options**

Question No: 54 (Marks: 1) - Please choose one



In statement of cash flows, a payment of cash dividends is related to:

► Investing activity

► **Financing activity**

► Operating activity

► Cash flows from operations

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Question No: 1 (Marks: 1) - Please choose one

Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

►Partnership

►**Company**

►Sole proprietorship

►None of the given options

Question No: 2 (Marks: 1) - Please choose one

Fixed assets are also called:

►**Depreciable assets**



▶Current assets

▶Liquid assets

▶Floating assets

Question No: 3 (Marks: 1) - Please choose one

Stock of Trading concern consists of:

▶Raw material

▶Work in process

▶Merchandise inventory

▶All of the given options

Question No: 4 (Marks: 1) - Please choose one

Which of the following would be deducted from Sundry Debtors in Balance Sheet?

▶Bad debts (Trial balance item)

▶Old provision for doubtful debts

▶New provision for doubtful debts

▶Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 5 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.



Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

▶Rs. 400

▶Rs. 800

▶Rs. 2,000

▶Rs. 2,400

Question No: 6 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

▶Credit sale only

▶Cash sale only

▶Credit purchase only

▶Both Credit sales and Credit purchase

Question No: 7 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

▶Error of principle

▶Error of omission



▶Error of commission

▶Error of original entry

Question No: 8 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

▶Rs. 1,000

▶Rs. 9,000

▶Rs. 10,000

▶Rs. 11,000

Question No: 9 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

▶Interest account

▶Partner's capital account

▶Profit and Loss account

▶Profit and loss appropriation account

Question No: 10 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

▶Individual Partner's Current Account



▶Partner's Cash Account

▶Partner's Bank Account

▶Partners Capital Account

Question No: 11 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

▶1984

▶I884

▶1948

▶1965

Question No: 12 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

▶Sale of fixed asset

▶Issue of debentures

▶Cash from business operation

▶Purchase of fixed asset

Question No: 13 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

▶Sole-Proprietorship



▶Partnership

▶Trust

▶Public Limited Company

Question No: 14 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

▶Profit and loss account

▶Bad debt account

▶Debtor account

▶Creditor account

Question No: 15 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be credited while entering in journal?

▶Cash

▶Discount received

▶Creditors

▶Bank

Question No: 16 (Marks: 1) - Please choose one

Which of the following indicates cash discount received?

▶Discount in paying debt earlier

▶Discount in receiving debt earlier



▶Discount in purchasing huge goods

▶Discount in selling huge goods

Question No: 17 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

▶Title of financial statement

▶Name of the person who prepares financial statement

▶Period for which financial statement is prepared

▶Name of business entity

Question No: 18 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A?

▶Rs.1,320

▶Rs.2,640

▶Rs.3,960

▶Rs.6,600

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the major benefit of a partnership over a sole proprietorship?

▶Unlimited liability

▶Single tax filing

▶Difficult ownership resale

▶Raising capital



Question No: 20 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

▶Interest expense

▶Interest payable

▶Prepaid interest

▶Interest paid

Question No: 21 (Marks: 1) - Please choose one

For which of the following share premium can be utilized?

▶To write off preliminary expenses

▶To meet the expenses of issue of shares

▶To issue bonus shares

▶All of the given options

Question No: 22 (Marks: 1) - Please choose one

Which of the following statement is not true regarding the objective of statement of cash flows?

▶It is helpful for decision making by management

▶It is used for reporting the net profit of the period

▶It can be used for estimations for cash flows in future

▶It is used to determine the liquidity of the business



Question No: 23 (Marks: 1) - Please choose one

Which of the following can maintain the secrecy in all business matters?

▶**Sole-proprietorship**

▶Partnership

▶Public Limited Company

▶Private Limited Company

Question No: 24 (Marks: 1) - Please choose one

Expenditure is revenue in nature when it:

▶**Benefits the current period**

▶Benefits the future period

▶Belong to the previous period

▶None of the given options

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a process of transferring journal entry information to ledger account?

▶Journalizing

▶**Posting**

▶Balancing

▶Analyzing

Question No: 26 (Marks: 1) - Please choose one



Which of the following account would be debited when the owner of business sold machinery of Rs. 10,000 on cash?

▶Sales a/c

▶Machinery a/c

▶Owner a/c

▶Cash a/c

Question No: 27 (Marks: 1) - Please choose one

Which of the following account would be credited, when goods are sold on credit?

▶Stock account

▶Accounts receivable account

▶Accounts payable account

▶Sales account

Question No: 28 (Marks: 1) - Please choose one

Which of the following account would be debited when Rs.5, 000 were paid to vendor?

▶Cash

▶Voucher payable-vendor payable

▶Sundry debtors

▶Personal account of customer

Question No: 29 (Marks: 1) - Please choose one

Which of the following is **TRUE** during the periods of deflation?



▶The use of FIFO will result in greater net income than LIFO

▶The use of FIFO will result in a smaller cost of goods sold than LIFO

▶The use of FIFO will result in a lower net income and higher ending inventory than LIFO

▶The use of FIFO will result in a lower net income and lower ending inventory than LIFO

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is **TRUE** with respect to "LIFO" in inventory valuation?

▶Last-In-First-Out

▶Last-In-Freight-Out

▶Last-In Frequent-Out

▶Large inventory - First-Out

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is a fixed asset?

▶Cash in hand

▶Advanced payment

▶Closing stock

▶Leasehold vehicle

Question No: 32 (Marks: 1) - Please choose one

Purpose of charging depreciation expense is the application of:

▶Matching principle

▶Dual aspect concept



▶Separate entity concept

▶Money measurement concept

Question No: 33 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about fixed assets?

▶Fixed assets have a long life

▶Fixed assets are used in the business for future generation of income

▶Fixed assets are not bought with the main purpose of resale

▶All of the given options

Question No: 34 (Marks: 1) - Please choose one

If:

- Ø Cost of machine= Rs. 425,000
- Ø Useful life= 5 years
- Ø Residual value = Rs. 25,000
- Ø Sale price= Rs. 40,000

What will be book value of machine after four years using straight line method?

▶Rs. 65,000

▶Rs. 400,000

▶Rs. 85,000

▶Rs. 105,000

Question No: 35 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1,600 appeared in trial balance. What is amount of new provision for doubtful debts?



▶**Rs. 3,600**

▶Rs. 2,000

▶Rs. 1,600

▶Rs. 400

Question No: 36 (Marks: 1) - Please choose one

Which of the following statement is correct, if a company fails to record estimated bad debts expense?

▶Net realizable value is understated

▶**Expenses are understated**

▶Revenues are understated

▶Receivables are understated

Question No: 37 (Marks: 1) - Please choose one

Insurance paid in advance would be treated as:

▶Non current asset

▶**Current asset**

▶Intangible asset

▶Deferred expense

Question No: 38 (Marks: 1) - Please choose one

Which of the following is/are **NOT** included in the cost of goods sold?

▶Distribution expenses

▶Selling expenses



▶Administrative expenses

▶All of the given options

Question No: 39 (Marks: 1) - Please choose one

Which of the following would be added in purchases in order to get the value of Net purchases?

▶Purchases returns

▶Carriage inwards

▶Trade discount and rebates

▶All of the given options

Question No: 40 (Marks: 1) - Please choose one

The amount received in excess of the face value of the shares is transferred to:

▶Share capital account

▶Right shares

▶Share premium account

▶Shareholders account

Question No: 41 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

▶Share premium account

▶Shareholders account

▶Debtors control account

▶Creditors control account



Question No: 42 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

▶**Share premium**

▶Term finance certificates

▶Bonds

▶Debentures

Question No: 43 (Marks: 1) - Please choose one

Which of the following is the new name of Sources and Application of Funds?

▶Income Statement

▶**Cash Flow Statement**

▶Statement of Changes in Owners Equity

▶Balance Sheet

Question No: 44 (Marks: 1) - Please choose one

A corporation has retained earning of Rs. 100,000 and Rs. 150,000 for the year ended 2006 and 2007 respectively. The corporations had net profits after taxes of Rs. 80,000 in 2007. What will be the amount of dividend paid in the year 2007?

▶Rs. 30,000

▶**Rs. 70,000**

▶Rs. 50,000

▶Rs. 20,000



Question No: 45 (Marks: 1) - Please choose one

Which of the following is the **CORRECT** statement with respect to the liquidity and profitability?

▶Liquidity and Profitability is the same thing

▶The importance of Liquidity > The importance of Profitability

▶The importance of Liquidity < The importance of Profitability

▶The liquidity and profitability is not the same thing but both have equal importance

Question No: 46 (Marks: 1) - Please choose one

Which of the following is adjusted as working capital change in operating activities section of a cash flow statement?

▶Decrease in trade receivable

▶Repayment of dividend

▶Payment of goodwill

▶Investment in associated companies

Question No: 47 (Marks: 1) - Please choose one

In statement of cash flows, which of the following would not be considered as an investing activity?

▶Sales of fixed assets

▶Purchase of long term securities

▶Purchase of fixed assets

▶Payments of dividends

Question No: 48 (Marks: 1) - Please choose one



A company ABC purchased an asset for Rs. 40,000, paying Rs. 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

▶Rs. 40,000 cash outflow as an investing activity

▶Rs. 30,000 cash outflow as an investing activity

▶Rs. 10,000 cash inflow as an investing activity

▶Rs. 70,000 cash inflow as an investing activity

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Question No: 1 (Marks: 1) - Please choose one

Direct materials costs	Rs.70,000
Direct labor costs	30,000
Manufacturing overhead costs	60,000
conversion cost	**?**

▶Rs. 20,000

▶Rs.40, 000

▶Rs.90, 000

▶Rs.160, 000



Question No: 2 (Marks: 1) - Please choose one

Sale proceeds of goods are an example of:

▶**Revenue expense**

▶Capital expense

▶Capital receipt

▶Revenue receipt

Question No: 3 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

▶Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

▶**Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)**

▶Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

▶Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

Question No: 4 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?



▶Sales Day Book

▶Sales Return

▶Debtors Ledger

▶All of the given options

Question No: 5 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Carriage paid Rs.50 for the newly purchased machinery mistakenly debited to carriage account?

▶Only machinery account

▶Only carriage account

▶Both carriage and machinery account

▶Only cash account

Question No: 6 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

▶Only Cash Account

▶Only P's account

▶Only Q's account

▶Both of Mr. P's & Mr.Q's Account

Question No: 7 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?



▶Contributed Capital

▶Retained Earnings

▶Revenues

▶Expenses

Question No: 8 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

▶Salaries of selling staff

▶Transportation inward costs

▶Import duties

▶Purchase price

Question No: 9 (Marks: 1) - Please choose one

Which of the following are the owners of a company?

▶Proprietors

▶Partners

▶Shareholders

▶Managers

Question No: 10 (Marks: 1) - Please choose one



If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

▶Capital Reserve

▶Authorized share capital

▶Paid up share capital

▶Share premium

Question No: 11 (Marks: 1) - Please choose one

In which of the following interim dividend is treated?

▶In profit and Loss account

▶In profit and Loss appropriation account

▶On the asset side of the Balance Sheet

▶In trading account

Question No: 12 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

▶Memorandum of Association

▶Articles of Association

▶Prospectus

▶Statutory Declaration



Question No: 13 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

▶A new long-term loan taken out to finance the purchase of fixed assets

▶Salaries paid

▶Interest paid on a long-term bank loan

▶The cost of purchasing a patent

Question No: 14 (Marks: 1) - Please choose one

When opening stock is Rs. 50,000, closing stock Rs. 60,000 and cost of goods sold Rs. 220,000. What will be stock turnover ratio?

▶2 times

▶3 times

▶4 times

▶5 times

Question No: 15 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

▶Current Assets

▶Current Liability

▶Long-term liability

▶Share of profit



Question No: 16 (Marks: 1) - Please choose one

Net Profit + Expenses= _____

▶Liabilities

▶Assets

▶Capital

▶Income

Question No: 17 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

▶Rs. 5,500

▶Rs. 8,000

▶Rs. 4,500

▶Rs. 8,500

Question No: 18 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000



Manufacturing overhead costs	60,000
Prime cost	**?**

▶Rs.130, 000

▶Rs.110, 000

▶Rs.140, 000

▶Rs.190, 000

Question No: 19 (Marks: 1) - Please choose one

"The owner of the business should be remunerated for his time spent in the business". This concept is known as:

▶Inflation

▶Money value of time

▶Money measurement concept

▶Realization concept

Question No: 20 (Marks: 1) - Please choose one

Which of the following account will be debited, when the labor cost is charged to production?

▶Finished goods account

▶Labor cost account

▶Work in process account

▶Factory over head account



Question No: 21 (Marks: 1) - Please choose one

_____ Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

▶Discount received

▶Goods returned

▶Purchase of goods on credit

▶Payment of goods

Question No: 22 (Marks: 1) - Please choose one

_____ The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

▶Rs. 150,000

▶Rs. 100,000

▶Rs. 220,000

▶Rs. 280,000

Question No: 23 (Marks: 1) - Please choose one

_____ Which of the following is usually not an accrued expense?

▶Interest payable

▶Wages payable

▶Taxes payable

▶Notes payable



Question No: 24 (Marks: 1) - Please choose one

Which of the following financial statements is generally prepared first?

▶Income statement

▶Balance sheet

▶Statement of retained earnings

▶Statement of cash flow

Question No: 25 (Marks: 1) - Please choose one

Which of the following is known as an asset account?

▶Gains

▶Prepaid insurance

▶Unearned revenue

▶Accounts payable

Question No: 26 (Marks: 1) - Please choose one

Puget Sound Co. sold marketable securities Costing Rs.80,000 for Rs.92,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

▶A Rs.12,000 gain and a Rs.92,000 cash receipt

▶A Rs.92,000 gain and a Rs.8,000 cash receipt

▶A Rs.12,000 gain and a Rs.80,000 cash receipt

▶A Rs.92,000 sale and a Rs.92,000 cash receipt



Question No: 27 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

▶Rs.42,350

▶Rs.44,150

▶Rs.41,600

▶Rs.40,850

Question No: 28 (Marks: 1) - Please choose one

Which of the following statement is not true regarding the objective of statement of cash flows?

▶It is helpful for decision making by management

▶It is used for reporting the net profit of the period

▶It can be used for estimations for cash flows in future

▶It is used to determine the liquidity of the business

Question No: 29 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

▶Sales of machinery

▶Capital invested by the owners

▶Purchase of building for the business use

▶Cash received from the disposal of equipment

Question No: 30 (Marks: 1) - Please choose one



Which of the following account would be credited in case of loss of goods by fire?

▶Purchase account

▶Sales account

▶Loss by fire account

▶Capital account

Question No: 31 (Marks: 1) - Please choose one

Which of the following result would be shown if Gross Profit is greater than the Operating Expenses in profit and loss account?

▶Net Profit

▶Operating profit

▶Net Loss

▶Gross Loss

Question No: 32 (Marks: 1) - Please choose one

Which of the following is/are **NOT** the example of intangible assets?

▶Copyright

▶Goodwill

▶Patent

▶Land

Question No: 33 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total "General & administrative expenses"?



▶Rs. 300

▶Rs. 2,500

▶Rs. 2,800

▶Rs.18,800

Question No: 34 (Marks: 1) - Please choose one

Which one of the following methods for inventory valuation is based on the assumption that the first merchandise purchased is the first merchandise sold?

▶LIFO Method

▶Weighted Average Method

▶Specific Identification Method

▶FIFO Method

Question No: 35 (Marks: 1) - Please choose one

A machine, which was bought at a cost of Rs. 4,000, is not expected to have any residual value. If it is depreciated at a rate of 10% per annum using Straight line method, its net book value after two years will be:

▶Rs. 3,200

▶Rs. 800

▶Rs. 3,600

▶Rs. 3,240

Question No: 36 (Marks: 1) - Please choose one

Particulars	Rs.



Written down value of asset at the time of sale	10,000
Original cost of asset	20,000
Depreciation expense during the year	700
Disposal value of asset	?
Loss on disposal of asset	1,000

▶Rs. 9,000

▶Rs. 19,000

▶Rs. 8,300

▶Rs.10,000

Question No: 37 (Marks: 1) - Please choose one

Accounts receivables are shown in balance sheet at:

▶Net realizable value

▶Total amount

▶Market value

▶Residual value

Question No: 38 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

▶Cash sale



▶Credit sale

▶Bills receivable

▶Discount allowed

Question No: 39 (Marks: 1) - Please choose one

Which of the following would be shown on the credit side of creditors control account?

▶Bills Receivable

▶Return outwards

▶Credit purchases

▶Discount allowed

Question No: 40 (Marks: 1) - Please choose one

Which of the following is **INCORRECT** about subsidiary account?

▶It is not a summary account

▶It reduces the burden of control account

▶It provides detailed information about individual accounts

▶It summarizes the total of related items from other accounts

Question No: 41 (Marks: 1) - Please choose one

Which of the following would be occurred in a transaction, but will not be expensed until a future accounting period?

▶Deferred cost

▶Provision

▶Unearned revenue



▶Capital work in progress

Question No: 42 (Marks: 1) - Please choose one

Deferred revenues will become revenue when they are:

▶Unearned

▶Earned

▶Incurred

▶Paid

Question No: 43 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

▶Share premium

▶Term finance certificates

▶Bonds

▶Debentures

Question No: 44 (Marks: 1) - Please choose one

Which of the following is old name of Cash Flow Statement?

▶Sources and Application of Funds

▶Sources and Application of Liabilities

▶Sources and Application of Activities

▶Sources and Application of Income



Question No: 45 (Marks: 1) - Please choose one

Which of the following is **TRUE**?

▶Sale of equipment for cash is considered as inflow of cash

▶Sale of equipment on account is considered as inflow of cash

▶Purchases of equipment for cash is considered as inflow of cash

▶Sale of equipment for cash is considered as outflow of cash

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the **CORRECT** statement with respect to the liquidity and profitability?

▶Liquidity and Profitability is the same thing

▶The importance of Liquidity > The importance of Profitability

▶The importance of Liquidity < The importance of Profitability

▶The liquidity and profitability is not the same thing but both have equal importance

Question No: 47 (Marks: 1) - Please choose one

A company ABC purchased an asset for Rs. 40,000, paying Rs. 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

▶Rs. 40,000 cash outflow as an investing activity

▶Rs. 30,000 cash outflow as an investing activity

▶Rs. 10,000 cash inflow as an investing activity

▶Rs. 70,000 cash inflow as an investing activity

Question No: 48 (Marks: 1) - Please choose one



Which of the given Asset is **Not** included in the calculation acid test ratio?

▶Stock

▶Cash

▶Debtors

▶Bills Receivable

BEST OF LUCK